

Multiple Choice

1. **Answer:** A

Options: A) Differences in taxation policies between economies; B) The inclusion or exclusion of foreign direct investment; C) absence of investment; D) Variances in the level of technological advancement; E) Variations in the savings rate of the population

Note: Correct option: A - Differences in taxation policies between economies

2. **Answer:** A

Options: A) expansionary monetary policy by lowering the discount rate.; B) expansionary monetary policy by selling Treasury securities.; C) contractionary monetary policy by raising the discount rate.; D) contractionary monetary policy by lowering the discount rate.

Note: Correct option: A - expansionary monetary policy by lowering the discount rate.

3. **Answer:** A

Options: A) 8; B) 9; C) 4; D) 7; E) 5

Note: Correct option: A - 8

4. **Answer:** A

Options: A) 14%; B) 12%; C) 11%; D) 9%; E) 2%

Note: Correct option: A - 14%

5. **Answer:** D

Options: A) Increase in supply Rising; B) Increase in demand Buying Rising; C) Decrease in demand Falling; D) Decrease in supply Rising

Note: Correct option: D - Decrease in supply Rising

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'nonmonetary benefits a person receives from a job'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'maximization of the firm's value'.

Long Form Response

11. **Answer:** y has a probability distribution. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Balanced Budget, Surplus Budget, Deficit Budget. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key